Southport CLO 2023-2, Ltd.

Preliminary Term Sheet | 2 November 2023 | Confidential

1. Transaction overview

This preliminary term sheet describes Southport CLO 2023-2, Ltd., a Cayman Islands exempted company (the Issuer), and Southport CLO 2023-2, LLC, a Delaware limited liability company (the Co-Issuer). The Issuers will issue secured notes and subordinated notes in a collateralized loan obligation managed by Meridian Credit Partners LLC (the Collateral Manager). Harbor Trust Company, N.A. will act as Trustee, collateral administrator, and notes paying agent. The transaction is expected to close on 16 November 2023 in New York. This document is a fictional sample for software testing only and is not an offer to sell securities.

Priya Raman is the lead portfolio manager at Meridian Credit Partners LLC for Southport CLO 2023-2. David Okonkwo is the chief credit officer. The Collateral Manager is headquartered in New York and is a wholly owned subsidiary of Meridian Holdings LP.

2. Capital structure

The Issuers expect to issue the following tranches. Par amounts are in US dollars. Ratings are expected ratings from Moody's and S&P and are not a recommendation to buy.

- Class A Senior Secured Floating Rate Notes: $228,000,000; AAA(sf)/Aaa(sf); SOFR + 1.45%; WAL 6.8 years.
- Class B Senior Secured Floating Rate Notes: $33,059,999; AA(sf)/Aa2(sf); SOFR + 2.10%.
- Class C Mezzanine Secured Deferrable Notes: $22,116,000; A(sf)/A2(sf); SOFR + 2.85%.
- Class D Mezzanine Secured Deferrable Notes: $16,643,999; BBB(sf)/Baa3(sf); SOFR + 4.20%.
- Class E Junior Secured Deferrable Notes: $12,768,000; BB(sf)/Ba3(sf); SOFR + 7.15%.
- Subordinated Notes: $29,412,000; unrated; residual interest.

3. Collateral and eligibility

The portfolio will consist primarily of US broadly syndicated first-lien senior secured loans, with a target par amount of $400,000,000. At closing, the warehouse facility provided by Bridgeport Bank will be refinanced into the CLO. Eligible collateral must be US dollar denominated, have a Moody's rating of at least Caa1 or an S&P rating of at least CCC+, and may not be equity, bonds, or delayed-draw commitments above the stated basket.

Initial seed names expected in the warehouse include Southport Shipyard LLC (first-lien term loan), Gulf Breeze Hotels (first-lien term loan), Bayou Chemical, Inc. (first-lien term loan), Cascade Health Services (unitranche). Southport Shipyard LLC is sponsored by Tidepool Energy.

4. Coverage tests and covenants

Southport CLO 2023-2 will be governed by standard overcollateralization and interest coverage tests. Failure of a Class A/B Overcollateralization Test or a Class A/B Interest Coverage Test redirects interest proceeds to pay down senior notes in sequential order until the test is cured.

- Class A/B Overcollateralization Test: minimum 122.5%. This covenant is measured monthly by Harbor Trust Company, N.A. as Trustee.
- Class A/B Interest Coverage Test: minimum 120.0%.
- Class C Overcollateralization Test: minimum 114.0%.
- Class D Overcollateralization Test: minimum 108.5%.
- Interest Diversion Test: if the Class E par coverage ratio is below 104.5%, 50% of remaining interest is used to buy additional collateral or pay down notes.

5. Concentration limits

The indenture imposes the following concentration limits on the collateral principal amount. Excess amounts are treated as haircut collateral for tests.

- Largest obligor: 2.0% (Southport Shipyard LLC is expected near 1.63% at close).
- Largest Moody's industry: 12.0%.
- Caa bucket (Moody's Caa1 or below): 7.5%.
- Second-lien and unsecured loans: 5.0% combined.
- Covenant-lite loans: 90.0% maximum.
- Non-US obligors: 15.0% maximum.

6. Parties and contacts

Collateral Manager: Meridian Credit Partners LLC, New York. Primary coverage: Priya Raman (portfolio manager) and David Okonkwo (chief credit officer). Trustee and collateral administrator: Harbor Trust Company, N.A., Wilmington. Placement agent: Westfield Securities LLC. Warehouse lender: Bridgeport Bank. Issuer counsel: Hale & Martin LLP. Questions on this term sheet should be directed to Priya Raman at Meridian Credit Partners LLC.

The Collateral Manager may sell or buy loans for Southport CLO 2023-2 during the five-year reinvestment period, subject to the eligibility criteria and the reinvestment overcollateralization test. After the reinvestment period ends on 16 November 2028, principal proceeds are used to amortize the notes sequentially, beginning with the Class A Senior Secured Floating Rate Notes.